

**Time:** 4 minutes**Outcome:** Distinguish microeconomic and macroeconomic questions.**Difficulty:** ●○○ Beginner

Microeconomics vs. Macroeconomics



THE CORE IDEA

Microeconomics studies choices by individual households, firms, workers, and markets, while macroeconomics studies economy-wide outcomes such as output, inflation, and unemployment. One event can require both market-level and economy-wide analysis. Macro conclusions require appropriate aggregation across people, firms, and markets. Macroeconomics examines economy-wide aggregates such as output, inflation, and unemployment. A single firm's hiring decision is microeconomics.



HOW TO RECOGNIZE IT

- A report tracks national inflation, unemployment, and total output.
- A firm decides how much labor to hire at one restaurant.
- Microeconomics can use massive data while focusing on individual choices and specific markets.
- A bakery studies how customers respond to a muffin price increase.
- Microeconomics studies choices by households, firms, and specific markets.



WATCH OUT

A common mistake is to label any large organization as macroeconomic. The classification depends on the unit of analysis: one decision-maker is micro; economy-wide aggregates are macro.



WORKED EXAMPLE: MICRO OR MACRO?

A restaurant deciding whether to hire one more server is a microeconomic question because it concerns one firm's choice. The national unemployment rate is a macroeconomic outcome because it aggregates labor-market conditions across the economy. The subject's size is not decisive; the unit of analysis is.



CHECK YOURSELF

Name three economy-wide outcomes studied in macroeconomics.

**READY?**

Return to the game and master this concept.